



TOP 10

Fastest-growing franchises worldwide

1. **Subway** fast-food sandwich outlets
2. **McDonald's** fast-food outlets
3. **KFC** fast-food outlets
4. **Burger King** fast-food outlets
5. **7-Eleven** convenience stores
6. **Pizza Hut** restaurants
7. **GNC** health and beauty products
8. **Wyndham Hotel Group** hotels
9. **Dunkin' Donuts** bakery/coffee shops
10. **Dia** grocery stores



CASE STUDY

Business-format franchise: fast-food outlets

The business-format franchise, in which a franchisee takes on a whole blueprint for running a business as well as the product itself, was pioneered in the US in the late 1940s.

Fast-food outlets were a new concept at the time and were generating great demand. To increase the rate of expansion, these original fast-food entrepreneurs developed a franchise system under which the franchisee was contractually obliged to run the outlet according to strict guidelines.

A limited and uniform menu was the key to the success of these franchises. The consistency of the menu, service, and surroundings helped to establish a strong brand identity, since customers were assured that the product and experience would be the same anywhere in the country.

McDonald's is the most successful example, collecting an estimated 11.5 percent royalty fee from its 31,000 franchises worldwide.

Business-format franchise

The most common type, this has high input from the franchisor including brand name and trademark, training, store identity, marketing plan, and company culture. The franchisee buys supplies from the franchisor and pays fees and royalties. Fast-food outlets are typical business-format franchises.

